

90% of millionaires have never taken out a business loan.

The home equity line of credit (HELOC) is probably one of the greatest marketing success stories of the last twenty years. I hear people talk about their HELOC all the time like it was an investment they're proud of. They're so excited to tell me about how smart they are with this magic wand called a HELOC. Let me clear something up for you: a HELOC is a second mortgage. Period. Sure, no one calls it a second mortgage, and the banks selling it certainly don't want you to see it as a second mortgage, but that's exactly what it is. When you take out a line of credit against your house, you are putting your home at risk. You're using it to secure a loan with a bank. Come on, people. That's the definition of a mortgage!

Everyday millionaires—not the flashy rich people you may see on television—stay away from debt masquerading as “leverage.” They see home equity loans, home equity lines of credit, business loans, and private lending for what they are—debt. And wealthy people avoid debt. We found that 63% of millionaires have never taken out a home equity loan or line of credit, and 90% do not currently have a home equity loan. So, that means some of them may have made this mistake in the past, but then they course corrected and got out of that mess as quickly as they could. Similarly, nine out of ten have never taken out a business loan. They don't have credit card debt, student loans, or car payments, either. I'll talk more about that in chapter 7.